Insights & Business Recommendations

• Executive Summary

The HR Analytics Dashboard was developed to analyze employee attrition, salary distribution, performance trends, and regional workforce patterns. The analysis reveals critical retention challenges that require immediate strategic action.

• Key Insights

1. High Attrition Rate (47%)

The overall attrition rate is **47%**, which is significantly high for an organization of 200 employees. Nearly half of the workforce has left, indicating serious retention issues.

2. Regional Attrition Differences

From the "Attrition by Region" chart:

- North region shows the highest attrition count.
- West region shows relatively lower attrition.
- Attrition is consistently present across all regions.

3. Performance Rating Distribution

Performance rating distribution shows:

- Majority employees fall in rating 1–3.
- Lower-rated employees may be contributing more to attrition.

4. Salary Differences Across Departments

From "Average Salary by Department":

- Marketing & Sales have higher average salaries.
- HR and IT departments have comparatively lower salaries.

5.Hiring Trend Fluctuation

Hiring peaked in 2020 and 2022 but declined in 2024.This may indicate:

- Reactive hiring strategy

Workforce planning inconsistencies

• Root Cause Observations

- High turnover across multiple regions
- Possible dissatisfaction among lower-performing employees
- Compensation imbalance across departments
- Lack of structured retention planning

• Business Recommendations

1. Implement Region-Specific Retention Strategy
   - Focus HR efforts on high-attrition regions (especially North).
2. Improve Performance Management System
   - Provide training, mentoring, and clear growth paths for lower-rated employees.
3. Review Compensation Strategy
   - Conduct market salary benchmarking for lower-paying departments.
4. Strengthen Workforce Planning
   - Adopt structured hiring and retention tracking model instead of reactive recruitment.
5. Monitor Attrition Quarterly
   - Establish a KPI tracking framework for ongoing monitoring.

• Expected Business Impact

If recommendations are implemented:

- Reduce attrition rate
- Lower hiring & onboarding costs
- Improve employee engagement
- Increase productivity
- Strengthen long-term organizational stability

- **Final Conclusion**
  - The analysis indicates that a 47% attrition rate is a critical concern for the organization. Attrition is observed across multiple regions and departments, suggesting underlying retention and workforce planning challenges.
  - Variations in performance ratings, salary distribution, and hiring trends highlight the need for a structured retention strategy, improved employee development programs, and better compensation alignment.
  - By implementing data-driven HR strategies, the organization can reduce turnover, improve engagement, and strengthen long-term operational stability.